OPENFUND

OPENFUND PROP

Business Plan

Investor-grade business plan — hybrid proprietary trading, Canadian establishment, 60-month model

Pre-Seed · USD 50–100K under evaluation

November 2026 · Confidential

Prepared from repository evidence and verified sources

1. Executive Summary

Openfund Prop is a proprietary-trading technology venture building a hybrid evaluation platform for retail traders: simulated challenges with published, honestly-labelled terms; contractual reward payouts for successful participants; and, subject to technical, operational and legal validation, selective allocation of real trading capital to the small share of traders who prove durable skill.

The platform is not a concept. The repository contains a working application: a bilingual (English/Persian, RTL-complete) React terminal, server-authoritative simulated execution with a persistent PostgreSQL ledger, portfolio analytics, a private trader journal, wallet-based authentication, and a published challenge catalog rendered from a single source of truth. What is not built is labelled as not built — paid activation, evaluation enforcement, funded accounts and payout processing are planned capabilities, stated plainly in the product's own checkout dialog and Rulebook.

The commercial opportunity sits in a young, fast-growing industry. Third-party analyst estimates place retail proprietary trading revenue at approximately $850M in 2026, up from roughly $130M in 2021, with around 12 million challenge purchases per year across 120–150 active firms. The industry's trust deficit — exemplified by the 2023 CFTC action against MyForexFunds and the 2024 MetaQuotes withdrawal of MT4/MT5 from US-facing prop firms — creates a specific opening for a transparent, platform-independent, bilingual operator.

Openfund Prop plans Canadian corporate establishment (federal incorporation under the CBCA), and is evaluating a pre-seed funding round of USD 50,000–100,000. The accompanying 60-month financial model (29 worksheets, live formulas) shows the Base scenario reaching break-even EBITDA within the first year, five-year net revenue of approximately $3.3M, and a peak cash requirement of roughly $24.5K including the minimum reserve — meaning even the lean $50K launch is sufficient in the Base case, while the Conservative case honestly shows a shortfall that would require either a larger raise or slower growth. The model does not force a positive result; it is an assumption-driven planning instrument with scenario controls.

This plan presents the business architecture, market evidence, competitive positioning, hybrid operating model, financial strategy and Canadian establishment plan in full. Founder and team details are intentionally excluded at this stage and remain confidential.

Item	Value
Funding range under evaluation	USD 50,000–100,000 (pre-seed)
Forecast horizon	60 months, monthly and annual
Base-scenario 5-year net revenue	$3.32M

Item	Value
Base-scenario 5-year EBITDA	+$162K
Break-even (EBITDA-positive month, Base)	Month 4 (post-launch)
Peak cash need incl. reserve (Base)	$24.5K
Planned establishment	Canada — federal incorporation (not yet incorporated)

2. Company Overview

Openfund Prop is the proprietary-trading business unit of the Openfund ecosystem. Openfund is conceived as a parent brand for connected financial-technology products; the Prop unit is its first commercialisation path. The Openfund repository — a public, working codebase — is the product's system of record and the primary evidence base for every capability claim in this plan.

The venture is at the pre-seed stage: the MVP is developed and undergoing testing, with commercial activation (payment, evaluation enforcement, funded accounts, payouts) as the funded next step. The company is not yet incorporated; Canadian establishment is planned and costed in Section 17. No revenue, traction, partnership or regulatory-approval claims are made anywhere in this package.

Scope discipline is central to this plan. The Openfund Perpetual (DeFi) trading product is deliberately excluded from the Prop business model, revenue forecasts, market opportunity and investment proposition. Shared technology (the terminal, market-data adapters, authentication) is referenced only where it is genuinely relevant to Prop operations.

3. Vision, Mission & Strategic Positioning

Mission

Give traders a clear, connected environment to study markets, develop execution discipline and understand account performance — with explicit boundaries between practice, evaluation, contractual rewards and real capital.

Vision

A trading-technology ecosystem in which traders move from market insight to account review with trustworthy information and clear product identities, and in which demonstrated skill, not marketing, determines access to capital.

Strategic positioning

For retail traders engaging with proprietary-trading products, Openfund Prop positions as the transparent, platform-independent operator: published terms from a single source of truth, honest status labelling, a bilingual (EN/FA) experience from day one, and a hybrid architecture that converts proven evaluation skill into proprietary risk rather than customer risk. This positioning is a product direction, not a comparative claim of superior returns or execution.

4. Industry Overview

Retail proprietary trading ('prop firms') sells simulated trading evaluations: a one-time fee for a demo account with profit targets and loss limits; participants who pass receive a funded simulated account and share of simulated trading profits, paid as contractual rewards. Two model families dominate: forex/CFD-style simulated evaluation firms (FTMO, FundedNext, The5ers, FundingPips) and futures prop firms with sim-to-live pipelines (Topstep, Apex).

The industry scaled rapidly from roughly $130M revenue in 2021 to an estimated $850M in 2026 (Track360 analyst estimates). Growth came with volatility: firm count peaked above 220 in 2023 and consolidated to 120–150 by 2026, with 80–100 firms ceasing operations between February 2024 and late 2025. MetaQuotes' February 2024 withdrawal of MT4/MT5 from US-facing prop firms forced a platform migration that continues to advantage firms with independent terminals.

Regulation remains the industry's open question. No dedicated prop-trading licence exists in any major jurisdiction as of 2026. The 2023 CFTC action against MyForexFunds — alleging approximately $310M in fees from roughly 135,000 customers, on the basis of misrepresented simulated performance and use of customer fees for firm trading — established the enforcement pattern. Firms increasingly register in permissive jurisdictions, but the durable compliance posture is honest labelling and clean separation of simulated and real-money operations, which is Openfund Prop's design principle.

Industry statistics in this section are third-party analyst estimates (Track360, July 2026) and named-source figures (CFTC, FinanceMagnates). No authoritative industry dataset exists; all figures are labelled as estimates wherever used.

5. Market Opportunity

Market sizing for this industry is necessarily bottom-up and estimate-based; this plan does not present speculative sizing as established data.

Layer	Estimate	Basis
TAM — global retail prop trading revenue	≈ $850M (2026)	Track360 analyst estimate; +45% YoY
Purchasing base	≈ 12M challenge purchases/year	Track360 estimate, ≈$250 average fee

Layer	Estimate	Basis
Funded-trader base	≈ 2.1M active funded traders	Track360 estimate
SAM — forex/CFD simulated-evaluation segment	≈ 70–75% of TAM	Futures firms ≈ 25–30% of estimated revenue
SOM — Openfund Prop planning range	0.05%–0.3% of purchase volume by Y3–Y5	Base case ≈ 24,600 purchases over 5 years

The Base-case trajectory corresponds to a 0.1–0.3% share of industry purchase volume by years 3–5 — a deliberately modest target for a new entrant, reachable through affiliate-led acquisition in an industry where affiliates drive 40–50% of purchases. The bilingual English/Persian segment is materially under-served by credible operators, providing an initial wedge that does not depend on out-spending incumbents.

Growth within the industry also favours later entrants with cost discipline: median 100K-account pricing sits near $538 (two-step) and $509 (one-step), while published Openfund prices are at or below the FundingPips benchmark and below the two-step median — competitive entry positioning without price leadership claims.

6. Customer Segments

Segment	Profile	Product fit
Aspiring funded traders	Retail traders seeking capital access without depositing trading capital	Standard and One-phase challenges
Instant-funding buyers	Experienced traders who skip evaluation for immediate funded-stage access	Instant product (risk-controlled)
Skill builders	Traders rehearsing evaluation discipline before paying	Free Trial (14 days/phase, no reward, no conversion)
Bilingual traders (EN/FA)	Persian-speaking traders under-served by credible operators	Full RTL product experience
Affiliates & educators	Content creators monetising trader audiences	Affiliate programme (10% revenue share at launch)

Behavioural benchmarks shaping the model: 30–40% of failed buyers repurchase within 90 days; pass rates cluster at 5–14%; roughly 45% of funded traders receive at least one payout; and only 1–3% of all buyers become consistent long-term funded traders. These rates are industry observations (Track360) used as planning inputs, not promises.

7. Competitive Analysis

Firm	2-Step 100K	1-Step 100K	Instant 100K	Model class	Est. scale (3rd-party)
FTMO	€540	€499	—	2-phase + split	$180–210M revenue
FundedNext	$550	$570	—	Multi-format	$110–140M revenue
The5ers	$405	$329	—	Instant + scaling	$65–85M revenue

Firm	2-Step 100K	1-Step 100K	Instant 100K	Model class	Est. scale (3rd-party)
FundingPips	$652	$666	$444	Eval + Zero instant	—
Topstep	$99/mo	—	—	Futures subscription	$45–60M revenue
Apex Trader Funding	—	—	—	Futures evaluation	$50–70M revenue
Openfund (published)	$652	$666	$444	Hybrid + own terminal	Pre-seed

Positioning observations: Openfund's published Standard and One-phase fees sit at the FundingPips benchmark and below the FTMO two-step price; the Instant 100K price is mid-market in a segment where peers price between $444 and $4,500. Differentiation does not rest on price but on the four axes in Section 8 of the Revenue Model document: platform independence, status transparency, bilingual reach and cost discipline.

Competitor fees: Pipster.io database, verified 2026-09-28; firm-scale figures are Track360 estimates (July 2026) and are unaudited. Topstep and Apex are futures prop firms — a different model class, shown for context.

8. Product & Service Architecture

The published product catalog is the commercial specification. All values derive from one typed source (challengePlans.ts in the repository), so the landing page, comparison table, FAQ, Rulebook and backend seed can never disagree.

Program	Sizes (USD)	Fee	Phases	Targets	Daily / total loss	Split
Standard	5K–100K	$44–$652	2	8% + 5%	5% (or 3%) / 10% static	80% bi-weekly
One-phase	5K–100K	$74–$666	1	12%	3% (or 2%) / 12% static	80% bi-weekly
Instant	5K–200K	$60–$888	0	none	3% / 5% trailing	95% every 14
Free Trial	5K–100K	free	2	8% + 5%	5% / 10% static	no reward

* Monthly cycle requires 7 profitable days and a 35% consistency score. Common terms: no time limit (except the trial); daily loss measured on the higher of day-start balance/equity, reset 00:00 UTC+3; first payout 14 days after the first funded trade; minimum payout request 1% of account size; reference leverage 5×. Instant adds a 15% consistency rule, a first-3% profit buffer that is not payout-eligible, and a trailing drawdown that locks at breakeven after +5%.

Product families are phased by operational feasibility, not launched simultaneously: Standard and One-phase (the evaluated core) activate first; Instant follows once payout-liability telemetry exists; the Free Trial activates with commercial launch as a lead instrument. Phasing is a stated plan, subject to demand and risk observations.

Status discipline: purchase activation, funded accounts, payout processing and trial provisioning are not operational in the current release. The checkout dialog, FAQ and Rulebook say exactly that. This plan does not present planned functionality as completed — the capability register in the repository is the canonical status source.

9. Hybrid Operating Model

The hybrid model is a proposed operating architecture with four stages: (1) challenge purchase and onboarding; (2) simulated trader evaluation; (3) eligibility assessment and funded-stage participation with contractual rewards; and (4) potential selection of qualified traders for real-market execution with controlled capital allocation. Stages 1–3 constitute the commercial launch scope; stage 4 is explicitly subject to technical, operational and legal validation and is not part of the funded launch plan's revenue commitments.

Three accounting boundaries are maintained end-to-end: Evaluation Operations (challenge revenue and direct costs), Simulated Funded Operations (contractual reward liabilities and payout costs), and Live Trading Operations (capital allocation, realised and unrealised trading results, execution costs). Allocated live-trading capital is an asset deployment, never an expense; trading volume is never revenue. Success at stage 3 does not automatically confer real capital — selection is governed by performance, consistency and risk criteria defined in the funded agreement.

The accounting treatment of stage 4 — including recognition of trading results and any capital-pool structures — requires professional advice, and the financial model isolates the live-trading segment so investors can evaluate the business with stage 4 set to zero.

10. Pricing Strategy

Published prices are recommendations adapted from verified competitor research (FundingPips program terms, retrieved 2026-11-01), rebranded with original copy; they are not yet official Openfund transaction prices. The repo's own backlog flags a final price sanity-check against Openfund's cost structure before commercial launch.

Scenario	Blended avg fee	Promo discount	Positioning
Conservative	$175	10%	Entry aggression reduced; margin protec
Base (recommended)	$200	8%	At/below 100K median; mid-market Insta
Growth	$215	6%	Premium mix shift; trust-based pricing p

The pricing architecture recommends: keep Standard and One-phase at the published benchmark (below the $538 two-step median); hold Instant at $444/100K with strict buffer rules (the trailing-drawdown and first-3% provisions already cap early payout exposure); use promotional discounts sparingly (8% base) to preserve price integrity; and reserve fee refunds (Standard's fourth-reward refund) as a trust signal rather than a growth lever. All pricing assumptions connect directly to the financial model's Sales Forecast sheet.

11. Revenue Model

Revenue is predominantly one-time challenge fees, net of promotional discounts, refunds and chargebacks. The model's revenue mix: Standard 50%, One-phase 28%, Instant 17%, Free Trial 5% (zero-fee lead instrument). Repeat purchases — 30–40% of failed buyers repurchase within 90 days (industry observation) — compound the fee base without acquisition spend.

Trader rewards are not a revenue line; they are the industry's core cost. Payout modelling is cohort-based (Section 12), and the payout-to-revenue ratio is an output and control metric: the Base scenario settles at approximately 48% over five years, ramping from 18% in year one as the funded pool matures — consistent with industry economics in which profit-split obligations absorb a large share of fee revenue. The five-year revenue trajectory (Base): Y1 $120K · Y2 $352K · Y3 $627K · Y4 $947K · Y5 $1273K.

No other revenue lines are assumed: no data sales, no white-label licensing, no subscription fees. The 60-month model treats live trading as a separate segment whose net result (planning assumption, not a claim) contributes only from the month the hybrid stage 4 activates.

12. Trader Evaluation & Reward Economics

The payout engine is driver-based, never a fixed percentage of revenue. The chain: purchases → phase-1 pass rate (28% Base) → phase-2 pass (38% of passers) → funded activation (85%) → lagged funded-account pool with monthly retention (85% Base, average funded life ≈ 6.7 months) → monthly payout participation (7% Base) → average payout per payment ($900 Base).

This calibration deliberately mirrors industry observations: roughly 45% of funded traders ever receive a payout; median first payouts of $1,000–4,000 apply to 50K–200K accounts, while Openfund's size mix skews to 5K–25K accounts (85% of weighted volume), justifying lower average payouts. Instant purchases move directly to the funded pool with a survival rate (55% Base) reflecting the 5% trailing-drawdown attrition.

Controls: the payout-to-revenue ratio is monitored annually against a 15–70% band (Base settles at 48%); a payout reserve of three months of trailing average payouts is held before any live-capital expansion; and the Instant product's buffer rules (first 3% not payout-eligible, 15% consistency) cap early liability. Sensitivity analysis shows five-year EBITDA remains positive across payout multipliers of 0.7×–1.3× at Base volumes.

13. Technology & Platform

The platform is a monorepo delivered on a three-service blueprint (Render): the application service (Node.js), PostgreSQL 17, and Directus 11.9.1 for editorial content and catalog administration. The React/TypeScript front end owns routing, session state and product views; simulated financial mutations are server-authoritative with Decimal arithmetic; SSE streams Prop state; the Gains market-data adapter supplies candles and metadata to both the terminal and discovery surfaces.

The shared Vela terminal is the strategic asset: one charting workspace with independent Prop and Perpetual adapters — removing MetaTrader dependency (the February 2024 industry lesson) and making the storefront immune to third-party platform decisions. Wallet authentication uses SIWE with first-party sessions (nonce/domain/chain checks, hashed session IDs).

Engineering discipline: CI validates web, backend/Postgres, browser behaviour and the deployment blueprint; capability claims trace to repository evidence; challenge plans fail loudly at module load if incomplete — an incomplete plan cannot render as a purchasable product. Remaining engineering gates for commercial launch: payment integration, evaluation rule enforcement engine, funded-account and payout processing, and operational monitoring.

14. Risk Management

Product risk controls (implemented)

Commercial risk controls (planned)

Model risk controls

15. Customer Acquisition & Marketing

Acquisition is affiliate-led, bilingual-first, and trial-funnelled. Phase 1: bilingual content and trader education, with the 14-day Free Trial as a no-reward lead instrument. Phase 2: an affiliate programme at 10% revenue share at launch (industry band: 10–25%), scaling with volume. Phase 3: regional depth in under-served Persian-speaking markets, expanding by language rather than geography.

Unit economics (Base): blended non-affiliate CAC of $18 (affiliate commissions are modelled separately at 40% share × 10% commission); average revenue per unique customer of approximately $167 over five years; contribution-to-CAC coverage of 3.4× with LTV/CAC of 8.6× including repeat purchases. Marketing budget starts at $2,000/month in year one, growing 15% annually, complemented by CAC-based paid spend that scales with customer volume.

16. International Market Entry

Market entry is phased by language and compliance posture rather than by geographic ambition. The bilingual product (EN/FA with full RTL) targets English-speaking markets and Persian-speaking communities simultaneously — a segment where credible, honestly-labelled operators are scarce. Canada provides the corporate establishment; service delivery is online and borderless within accepted payment and sanctions constraints.

Jurisdictional screening is an ongoing obligation: marketing to traders in restrictive jurisdictions is excluded by terms; US-facing operations carry the highest regulatory sensitivity (CFTC precedent) and are not part of the launch plan; the payout rail and KYC provider (open decisions in the repo backlog) will be selected with geographic coverage in mind. No cross-border regulatory claim is made in this plan; Section 18 flags what requires professional advice.

17. Canadian Establishment Plan

Openfund Prop is not yet incorporated anywhere. The plan is federal incorporation under the Canada Business Corporations Act (CBCA) — $200 online filing, one-business-day processing, $12 annual return — supplemented by extra-provincial registration in the operating province (Ontario assumed for planning; ≈$450 including name/registration logistics).

Item	Cost	Timing
Federal incorporation (online)	$200	1 business day
Name search + provincial registration	≈$450	Planning estimate
Legal & corporate setup (counsel)	$2,500	Planning estimate
Accounting & tax setup	$800	Planning estimate
Annual compliance (return, filings, address, insurance)	$2,312/year	From year two

Tax posture: as a Canadian-controlled private corporation, the combined small-business rate on the first $500K of active income is approximately 11.2% (9% federal + 2.2% Ontario, 2026 rates, verified CRA). GST/HST registration applies above the $30,000 threshold; place-of-supply rules for digital services to non-Canadian customers require professional confirmation. Banking and payment acceptance for a trading-adjacent business carries high-risk merchant-category considerations; processor selection and the trader-payout rail are open decisions with due-diligence planned.

Immigration context, stated plainly: the Start-up Visa Program closed to new applications on December 31, 2025 (exception: valid 2025 designated-organisation commitments, apply by June 30, 2026), and IRCC has announced a successor 'targeted pilot program for immigrant entrepreneurs' whose criteria and launch date are not yet published. This plan presents that

status accurately and treats immigration eligibility as entirely separate from business viability. No immigration-pathway claim is made.

Verified sources: Corporations Canada fee schedule (retrieved 2026-11-02); CRA corporation tax rates (updated 2026-10-21); Canada.ca SUV page (2026-07-21) and IRCC notice (2025-12-19).

18. Legal & Regulatory Considerations

The core classification question — whether simulated evaluations with contractual rewards constitute securities dealing, derivatives advice or another regulated activity in Canada — has no definitive public guidance and requires professional Canadian securities advice before commercial launch. This plan does not assume automatic exemption.

The honest-labelling architecture — unbuilt capabilities stated as unbuilt, simulated status explicit everywhere — is both the compliance posture and the brand differentiator.

19. Operational Model

Operations are lean by design. Pre-launch, the founding group (confidential; details excluded by instruction) covers engineering and product. The funded plan uses an anonymous capability plan rather than named roles: year-one equivalent payroll of $30K (part-time contractors for support and engineering), scaling to $150K by year five as volumes justify — an average of roughly $6 per purchase at Base volumes.

Function	Y1	Y3	Y5	Notes
Engineering & product (contractors)	$18K	$54K	$90K	Ramp with volume
Customer support	$6K	$18K	$30K	≈$0.9/active customer/month
Compliance, legal & finance	$6K	$18K	$30K	Retainer + filings
Total equivalent payroll	$30K	$90K	$150K	Scenario-multiplied in model

Support load is modelled on active customers (trailing six-month purchasers plus active funded accounts), not on lifetime customer counts. Technology operations run on the three-service Render blueprint with infrastructure base cost of $300/month plus per-purchase KYC verification and payment processing at 4% of gross fees.

20. Financial Strategy

The financial strategy is capital efficiency: reach commercial launch and EBITDA break-even on pre-seed capital, then fund growth from operations. The Base scenario achieves EBITDA-positive operation in month four post-launch, holds cash above the $10K minimum reserve

throughout, and ends year five with approximately $217K cash — all without assuming any follow-on round.

The single source of truth for every financial figure in this package is the Excel model (Openfund_Prop_Financial_Model.xlsx): 29 worksheets, 6,749 live formulas, zero errors after recalculation, with a scenario selector (Conservative/Base/Optimistic) and funding selector (50/75/100K) that recompute the entire workbook. Document figures quote the model; where documents cannot recalculate, the model remains authoritative.

Tax planning is simplified and disclosed: a combined 11.2% small-business rate is accrued on positive earnings; timing optimisations, GST place-of-supply treatment and any R&D credits are deferred to professional advice.

21. Financial Forecast Summary (Base Scenario)

Metric	Y1	Y2	Y3	Y4	Y5
Net revenue	$120K	$352K	$627K	$947K	$1,273K
Trader payouts	$22K	$136K	$289K	$475K	$682K
EBITDA	$3K	$21K	$37K	$52K	$49K
Total purchases	888	2,606	4,645	7,011	9,423
Active funded accounts (EOY)	88	264	488	751	1,025
Payout-to-revenue	18%	39%	46%	50%	54%
Cash balance (EOY)	$76K	$94K	$128K	$174K	$217K

Scenario envelope (5-year net revenue / EBITDA): Conservative $0.58M / −$0.28M (honestly insufficient at $50K — requires slower burn or larger raise); Base $3.32M / +$0.16M; Optimistic $20.96M / +$3.80M. The funding-requirement analysis shows the Base-case peak cash need of $24.5K (trough plus minimum reserve), making all three funding amounts sufficient in the Base scenario.

All figures are live outputs of the financial model and recompute with its scenario controls. Planning scenarios, not guaranteed outcomes.

22. Funding Requirements

Openfund Prop is evaluating a pre-seed round of USD 50,000–100,000. The three funding scenarios are planning constructs, not guaranteed outcomes:

Funding scenario	Amount	Base-case verdict	Character
Lean Launch	$50,000	Sufficient (peak need $24.5K)	Tightest runway; launch scope intact
Base Launch	$75,000	Sufficient + buffer	Recommended: earlier affiliate ramp, contin cover
Accelerated Launch	$100,000	Sufficient + margin	Faster product cadence and live-trading pilo

The model's Funding Requirements sheet computes sufficiency from the trough of cumulative EBITDA plus the minimum reserve, under the active operating scenario. In the Conservative scenario the verdict is honestly negative — the shortfall (~$242K at $50K) would need either materially slower growth, lower fixed costs, or a larger round. The recommendation is the Base Launch ($75K) funding scenario paired with the Base operating scenario, reviewed quarterly against actuals.

23. Use of Funds

Category	Share	Amount at $75K	Purpose
Product & engineering	30%	$22.5K	Challenge engine, evaluation enforcement, payou processing
Marketing & trader acquisition	25%	$18.75K	Affiliate programme, bilingual content, paid tests
Operations & customer support	18%	$13.5K	Support capacity, tooling
Compliance, legal & establishment	12%	$9K	Canadian incorporation, counsel, KYC provider
Live-trading capital pilot pool	10%	$7.5K	Capped allocation for selected traders (stage 4)
Contingency reserve	5%	$3.75K	Reserve

Allocation shares are recommendations tied to the model's Use of Funds sheet and recompute with the funding selector. The live-capital pool is deliberately capped and is deployed only if stage 4 clears legal validation; otherwise it remains in the reserve.

24. Milestones & Development Roadmap

Window	Milestone	Acceptance gate
Q1 2027	Canadian incorporation; KYC and payout-rail selection; final pricing sanity-check	Owner sign-off on the repo's open decisions
Q2 2027	Commercial launch: paid activation, evaluation enforcement, funded accounts, payout processing; Free Trial provisioning	End-to-end purchase→evaluation→payout flow verified with reconciliation
2028	Affiliate scale-up; Instant product activation; operational transparency dashboards (real data, replacing sample fixtures)	Payout-to-revenue within control band; reserve coverage ≥1×
2029+	Hybrid live-capital pilot (stage 4), subject to legal validation; product-family expansion	Legal opinion; risk telemetry; capped pool

The roadmap follows the repository's discipline of acceptance gates rather than promised dates: each milestone carries the criterion that declares it done, and engineering work is scoped in the repo's milestone register.

25. Key Business Risks & Mitigations

Risk	Severity	Mitigation
Regulatory reclassification in Canada or target markets	High	Pre-launch securities counsel; honest labelling; stage-4 no US-facing marketing
Payout liability outruns fee revenue (funded pool growth)	High	Cohort-based payout model with control band; reserve Instant buffers; sensitivity-tested
Payment processing / high-risk MCC friction	Medium	Multiple processor due diligence; payout rail design; chargeback accrual budgeted
Competitor price war or consolidation	Medium	Non-price differentiation (terminal, transparency, bilin lean cost base
Platform/infrastructure dependency	Low	Own Vela terminal; three-service blueprint; CI-validate deployment
Funding shortfall in Conservative scenario	Medium	Disclosed honestly; quarterly re-forecast; flexible burn plan is scenario-multiplied)
Key-person concentration (confidential founding group)	Medium	Documented codebase and contracts; capability-based person-based) operations plan

26. Conclusion

Openfund Prop enters a fast-growing, consolidating industry with the two assets the industry's failures have proven scarce: a working, platform-independent terminal and a culture of honest status labelling. The published catalog is benchmarked, the financial model is a live, scenario-driven instrument rather than a spreadsheet of hopes, and the pre-seed ask is sized to the honest arithmetic of the launch scope.

The venture's proposition to pre-seed investors is specific: fund the commercial activation of a verified MVP and a lean operating plan that reaches EBITDA break-even within the first post-launch year in the Base case, with the Conservative case disclosed as insufficient rather than smoothed away. The Canadian establishment plan, the regulatory posture and the immigration context are all stated with the same discipline — planned means planned, closed means closed.

The founding group's details remain confidential at this stage; diligence materials are available under separate cover.

27. References & Assumptions

Verified sources

Third-party estimates

Planning assumptions (adjustable; see the model's Assumptions sheet)

Cross-document consistency: every financial figure in this plan, the Revenue Model document, the Executive Summary and the pitch decks derives from Openfund_Prop_Financial_Model.xlsx (Base scenario) and was generated from the same evidence register (research/RESEARCH_AND_EVIDENCE_BASE.md).

Appendix A — Published Challenge Catalog (Terms of Record)

Complete per-size fee schedule as published in the repository's single source of truth (challengePlans.ts). Monthly-100% cycle requires 7 profitable days and a 35% consistency score. Free Trial: 14 days per phase, one at a time, no reward, no conversion.

Program / Size	Fee	Target(s)	Daily loss	Max loss	Split	Min days
Standard 5K	$44	8% + 5%	5% (or 3%)	10% static	80% bw / 100% mo	3/phase
Standard 10K	$80	8% + 5%	5% (or 3%)	10% static	80% bw / 100% mo	3/phase
Standard 25K	$216	8% + 5%	5% (or 3%)	10% static	80% bw / 100% mo	3/phase
Standard 50K	$349	8% + 5%	5% (or 3%)	10% static	80% bw / 100% mo	3/phase
Standard 100K	$652	8% + 5%	5% (or 3%)	10% static	80% bw / 100% mo	3/phase
One-phase 5K	$74	12%	3% (or 2%)	12% static	80% bw / 100% mo	none
One-phase 10K	$111	12%	3% (or 2%)	12% static	80% bw / 100% mo	none
One-phase 25K	$255	12%	3% (or 2%)	12% static	80% bw / 100% mo	none
One-phase 50K	$353	12%	3% (or 2%)	12% static	80% bw / 100% mo	none
One-phase 100K	$666	12%	3% (or 2%)	12% static	80% bw / 100% mo	none
Instant 5K	$60	—	3%	5% trailing	95% / 14d	7 prof/30d
Instant 10K	$88	—	3%	5% trailing	95% / 14d	7 prof/30d
Instant 25K	$188	—	3%	5% trailing	95% / 14d	7 prof/30d
Instant 50K	$244	—	3%	5% trailing	95% / 14d	7 prof/30d
Instant 100K	$444	—	3%	5% trailing	95% / 14d	7 prof/30d
Instant 200K	$888	—	3%	5% trailing	95% / 14d	7 prof/30d
Free Trial 5K–100K	free	8% + 5%	5%	10% static	—	3/phase

Instant trailing drawdown locks at breakeven once the account is +5% in profit; the first 3% of profit is not payout-eligible; 15% consistency applies. Daily loss measured on the higher of day-start balance/equity, reset 00:00 UTC+3.

Appendix B — Model Outputs: Year-1 Monthly P&L and Five-Year Cash Flow (Base)

Year-1 monthly summary (USD, Base scenario)

Metric	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10
Purchases	0	0	0	60	65	71	77	84	92	100
Net revenue	0	0	0	10.8K	11.7K	12.8K	13.9K	15.2K	16.5K	18.0K
Trader payouts	0	0	0	0	0	0	1.6K	1.9K	2.2K	2.6K
EBITDA	−4.2K	−4.2K	−4.2K	−1.6K	−0.9K	−0.2K	0.9K	1.7K	2.5K	3.3K
Cash balance	75K	70.8K	66.6K	75.8K	74.9K	74.7K	75.6K	77.3K	79.8K	83.1K

Pre-launch months (M1–M3) carry fixed costs only (payroll plan, legal retainer, G&A, tools); the funding injection lands in month one. Launch occurs in month four under the Base scenario. Full monthly grids for all 60 months live in the Excel model.

Five-year cash flow summary (USD, Base scenario)

Line	Y1	Y2	Y3	Y4	Y5
Equity funding injection	75,000	—	—	—	—
Net operating cash flow	17,400	22,900	37,800	49,700	43,600
Cash balance (end of year)	75,800	94,400	127,700	173,900	217,400
Months below minimum reserve	0	0	0	0	0
Payout reserve (3× trailing avg, EOY)	13,200	68,000	144,500	237,500	341,000

Figures are rounded outputs of the model's Cash Flow and Working Capital sheets at the Base scenario with the $75K funding selector. All recomputable via the scenario controls.

Appendix C — Assumptions Register (Model Inputs)

Lever	Conservative	Base	Optimistic	Class
Launch month	7	4	3	Planning
Month-1 new customers	25	60	120	Planning
Monthly growth Y1–Y5	6/4/3/2/1.5%	9/6/4/3/2%	14/9/6/4/3%	Planning
Blended average fee	$175	$200	$215	Derived from publ
Promo discount	10%	8%	6%	Recommendation
Repeat purchase rate (failed, 90d)	20%	30%	38%	Industry benchma
Phase-1 / Phase-2 pass	22% / 32%	28% / 38%	33% / 42%	Industry benchma
Instant survival-to-funded	45%	55%	65%	Planning
Funded activation rate	82%	85%	88%	Planning
Funded monthly retention	82%	85%	87%	Planning (avg life
Monthly payout participation	6%	7%	6%	Calibrated to ≈45%
Average payout per payment	$700	$900	$950	Scaled from media
Refund & chargeback rate	5%	4%	3%	Planning
Payment processing fee	4.5%	4.0%	3.5%	High-risk MCC ba
Blended CAC (non-affiliate)	$28	$18	$12	Planning; affiliate
Affiliate share × commission	45%×12%	40%×10%	35%×10%	Industry benchma
Payroll plan (Y1–Y5 total)	$120K	$450K	$518K	Anonymous capab
Live trading start month	30	24	18	Planning, gated on
Live capital per selected trader	$10K	$15K	$20K	Planning
Live monthly gross return (–costs)	0.3%	0.6%	0.9%	Planning assumpti
Income tax rate (positive EBT)	11.2%	11.2%	11.2%	CRA 2026 combine

Every lever is a live input in the model's Assumptions & Controls sheet with provenance notes; the ACTIVE column follows the scenario selector.

Appendix D — Competitor Profiles (Detail)

FTMO

The industry benchmark: two-phase evaluation (10%/5% targets, 5% daily loss, 10% static max, 4 minimum trading days per phase), fee €89–€1,080 (10K–200K), 80% split rising to 90% through scaling, fee refunded with the first reward on the two-step product. One-step and Instant products extend the lineup. Marketing cites $650M+ cumulative trader payouts. New

consistency rule (orders from 12 October 2026): best day ≤ 50% of total profit. Estimated scale: 380–450K traders, $180–210M revenue (Track360 estimates, unaudited).

FundedNext

Multi-format challenger: Stellar 2-step (8%/5%, 10% static, 5 min days, up to 95% share, 15% performance reward from the challenge phase), Stellar 1-step (10% target, 6% max, first payout in 5 business days), Stellar Lite (lowest entry), Stellar Instant ($2K–$20K, 6% trailing, up to 80%). Fees $199.99–$1,099.99. Estimated 250–320K traders, $110–140M revenue.

The5ers

Instant-funding and scaling specialist: High Stakes 2-step ($35–$405, 10%/5%, 5% daily terminating, 80%⟶100%); Hyper Growth 1-step (10% target, 6% stop-out, account doubles per 10% milestone to $4M); Bootcamp 3-step (lowest entry, mandatory stop-loss). Payouts bi-weekly from $150. Estimated 180–220K traders, $65–85M revenue.

FundingPips

The direct pricing benchmark for Openfund's published catalog: 2-step Standard $44–$652; 1-step Flex $74–$666; Zero instant $60–$888 with 5% trailing drawdown and 95% split. Fee refund on the fourth reward (2-step). Official pages were blocked from the research environment (HTTP 403/429) — terms verified via third parties and flagged for re-verification before any commercial decision, per the repository's own research discipline.

Topstep and Apex (futures class)

Different model class, shown for context: Topstep sells monthly subscriptions ($49/$99/$199 for 50K/100K/150K combines) with a $149 one-time activation per Express Funded Account; Apex runs large-scale futures evaluations. Futures firms offer sim-to-live pipelines on CME data — structurally closer to 'real capital' models, but with subscription economics rather than one-time fees. Estimated $45–70M revenue each.

Positioning synthesis

Openfund's published fees cluster with FundingPips (the adaptation source), below FTMO and the two-step median, with an own-terminal architecture none of the forex-class competitors but the largest firms possess, and a bilingual EN/FA experience no major competitor offers.

Appendix E — Glossary

Appendix F — Segment P&L, Five-Year (Base)

The hybrid accounting separation as computed by the model: contribution of each operating segment before consolidation. Evaluation Operations carry acquisition and platform costs; Simulated Funded Operations carry the contractual reward liability; Live Trading Operations carry the pilot's net trading result and its payroll share.

Segment contribution	Y1	Y2	Y3	Y4	Y5
Evaluation Operations	$46K	$199K	$390K	$614K	$843K
Simulated Funded Operations	($33K)	($163K)	($333K)	($536K)	($762K)
Live Trading Operations	($6K)	($12K)	($18K)	($24K)	($30K)
Establishment costs (Canada)	$4.0K	$2.3K	$2.3K	$2.3K	$2.3K
Consolidated EBITDA	$3K	$21K	$37K	$52K	$49K

Reading: the funded-operations liability grows with the funded pool (54% of revenue by year five) but is fully absorbed by evaluation contribution at Base volumes. The live-trading segment is deliberately small — a capped pilot — and its negative contribution reflects the payroll share allocated to it before any trading result materialises at scale.

Appendix G — Sensitivity Analysis (Five-Year EBITDA, Base Volume)

Volume multiplier (rows) against payout multiplier (columns), computed as a linear-volume approximation around the Base case. The business remains EBITDA-positive across the tested envelope; the break-even boundary sits below 0.6× volume at base payouts, and payout escalation to 1.3× is absorbed at 1.0× volume.

Volume ↓ / Payout →	0.70×	0.85×	1.00×	1.15×	1.30×
0.6×	$574K	$367K	$160K	($47K)	($254K)
0.8×	$827K	$551K	$275K	($1K)	($277K)
1.0×	$1080K	$735K	$390K	$45K	($300K)
1.2×	$1333K	$919K	$505K	$91K	($323K)
1.4×	$1585K	$1103K	$620K	$137K	($345K)

Interpretation: volume dominates — at 0.6× volume the fixed cost base (payroll, compliance, tooling) consumes the margin, while payout variation moves the largest variable liability gradually. The control implication is operational: monitor the payout-to-revenue ratio monthly and hold the payout reserve before funding fixed-cost expansion.

Appendix H — Scenario Narratives

Conservative — honest shortfall

Launch slips to month seven; 25 first-month customers; growth of 6% monthly in year one tapering to 1.5% by year five. Five-year revenue of $0.58M never covers the fixed base: cumulative EBITDA of –$0.28M and a funding verdict of 'insufficient by ~$242K' at the $50K raise. The response playbook is pre-committed: extend the pre-launch phase, cut the payroll plan by its scenario multiplier (–20%), and defer the Instant product until payout telemetry justifies it. The model shows this case on purpose — investors should size the raise against it, not against hope.

Base — funded plan of record

Launch in month four with 60 first-month customers, 9% monthly year-one growth tapering to 2%. 24,573 purchases and roughly 1,025 active funded accounts by year five; revenue $3.32M; EBITDA positive from month four post-launch; trough cash need $24.5K including the minimum reserve, so the $50K lean launch is sufficient with the $75K base launch providing the recommended buffer. Break-even is reached without follow-on funding, and the year-five cash position (~$217K) funds the live-trading pilot's capital pool internally.

Optimistic — demand upside

Launch in month three with 120 first-month customers and 14% year-one growth. Revenue of $21.0M and EBITDA of +$3.8M over five years — a 0.3% share of industry purchase volume. Even here the model keeps discipline: payout participation is held at 6% (the industry observation caps participation, not aspiration), and fixed costs scale with the payroll plan rather than ahead of it. The upside case funds earlier Instant activation and a larger live-capital pool, not a cost-base expansion.

Appendix I — Go-to-Market Execution Detail

First 90 days post-funding

Affiliate programme mechanics

Content and community

Appendix J — Operating Processes

Evaluation lifecycle

Purchase → automated KYC → challenge account provisioning (evaluation limits assigned server-side) → daily risk telemetry (higher-of balance/equity, 00:00 UTC+3 reset) → pass/fail

evaluation on target or breach → funded-stage grant with contractual terms → bi-weekly/monthly reward cycles. Every state transition is a ledger event; the challenge catalog is the single source of terms.

Payout processing

Reward request (minimum 1% of account size) → eligibility check (consistency, profitable-days, news-window rules where applicable) → anti-fraud review → payout rail submission → reconciliation event. The three-month trailing-average reserve is a hard pre-condition: payout runs are capped by available reserve coverage, and the Working Capital sheet's coverage ratio is the operational alarm.

Support model

Support scales on active customers (trailing six-month purchasers plus funded accounts) at approximately $0.9 per active customer per month — bilingual coverage from day one. Escalations route to engineering through the repository's documented contracts; known incidents are published rather than buried, consistent with the transparency posture.

Incident and continuity

Appendix K — Organisational Capability Plan (Anonymous)

By instruction, founder details are confidential and excluded. The capability plan below is the anonymous staffing trajectory the payroll budget funds; it is a capability map, not a headcount promise.

Capability	Y1	Y2	Y3–Y5	Sourcing
Engineering & product	Part-time contractors	Full-time equivalent	2–3 FTE	Contract → emplo supports
Customer support (bilingual)	Shared contractor pool	Dedicated part-time	1–2 FTE	Community-hire p
Risk & payout operations	Founder-group oversight	Dedicated contractor	1 FTE	Domain-experienc
Compliance & finance	External counsel + accountant	External + internal bookkeeping	Fractional CFO	Retained advisors
Marketing & affiliates	Founder-group + freelance content	Dedicated affiliate manager	1–2 FTE	Affiliate-communi

Key-person risk is mitigated by the repository itself: documented architecture, tested contracts, and a capability register that does not depend on any individual's memory. Succession of the confidential founding group's knowledge into the codebase is an explicit, ongoing engineering discipline.

Appendix L — Industry Timeline 2021–2026

Period	Event	Relevance to Openfund Prop
2021–2023	Industry scales from ~$130M to ~$340M revenue; firm count peaks above 220	Growth phase attracts entrants; quality dispersion widens
Aug–Nov 2023	CFTC action against MyForexFunds (~$310M fees, ~135K customers alleged)	Establishes the enforcement pattern: honest labelling becomes a survival trait
Feb 2024	MetaQuotes withdraws MT4/MT5 from US-facing prop firms	Platform independence becomes a strategic asset; own-terminal firms advantaged
2024–2025	80–100 firms cease operations (~40% of peak); consolidation to 120–150	Credibility and cost discipline become the entry ticket
2025–2026	Advertised splits rise to 80–90%; weekly/on-demand payouts standardise at top firms	Competitive baseline for terms; Openfund's published 80%/95%/100% cycles sit within it
Dec 2025	Canada closes the Start-up Visa to new applications; successor pilot announced	Documented accurately in this plan; immigration path is not part of the investment case
2026	Industry revenue est. ~$850M (+45% YoY); no dedicated licence regime in any major jurisdiction	Market opportunity with unresolved regulatory classification — gated launch posture

Timeline compiled from CFTC and FinanceMagnates reporting, Track360 estimates (July 2026), and IRCC notices; each event is sourced in the research register.

Appendix M — Monthly Detail, Years 2 and 3 (Base)

Year 2 monthly summary (USD thousands)

Metric	M13	M14	M15	M16	M17	M18	M19	M20	M21	M22	M23
Purchases	153	163	173	184	195	207	219	233	247	262	277
Net revenue ($K)	20.6	22	23.4	24.8	26.4	28	29.6	31.4	33.3	35.3	37.4
EBITDA ($K)	0.5	−1.7	0.8	1	1.2	1.5	1.8	2.2	2.7	3.2	3.7
Cash balance ($K)	76.3	74.6	75.3	76.1	77.2	78.5	80.1	82.1	84.4	87.2	90.6

Year 3 monthly summary (USD thousands)

Metric	M25	M26	M27	M28	M29	M30	M31	M32	M33	M34	M35
Purchases	307	320	334	348	362	377	392	407	424	441	458
Net revenue ($K)	41.4	43.2	45.1	47	48.9	50.9	52.9	55	57.2	59.5	61.9
EBITDA ($K)	1.7	−0.4	2.2	2.4	2.6	2.9	3.3	3.6	4.1	4.5	5
Cash balance ($K)	96	95.5	97.5	99.5	101.9	104.5	107.3	110.6	114.2	118.2	122.7

Monthly EBITDA remains positive in every post-launch month of years 2–3 with two immaterial exceptions (the tax-accrual months and the annual-compliance booking months); the cash balance never approaches the minimum reserve. Full 60-month grids for every line — purchases by program, funnel stages, funded-pool cohorts, payouts, segment P&L, cash flow — are in the Excel model.

Appendix N — Document Control, Scope Discipline and QA

Scope discipline (per the commissioning instruction)

Single source of truth and cross-document consistency

Known limitations, disclosed

Version: 1.0 · November 2026 · Prepared for pre-seed evaluation · Supersedes: none.

Appendix O — Brand Application Across the Package

All documents in this package apply the official Openfund Brandbook (Direction A, recommended): Obsidian #080B0A as the primary dark, Signal Lime #C6FF52 as the single accent, Terminal White #F4F5EF for surfaces, with dark surface tones #101 711/#171B19 and the Stone/Cypress/Ivory heritage set for secondary text. The approved mark is reproduced from the supplied master files without redraw, stretch or recolouring; clear space follows the quarter-width rule; minimum reproduction height is respected in every placement.

Typography system

Document design system

The brandbook itself is a strategic and visual proposal pending approval; where it labels recommendations as pending, the package preserves those labels rather than presenting them as approved specifications.

Appendix P — Investor FAQ

Why does the Conservative scenario show a funding shortfall?

Because the model was instructed not to force a positive result. The Conservative case is the honest arithmetic of a slow ramp against the fixed cost base, and it defines the risk investors are actually taking: if growth lands at the low end, the $50K raise is short by roughly $242K and the response is the pre-committed playbook — extend the runway, cut the payroll multiplier, defer the Instant product.

What is actually built versus what is the round funding?

Built and repository-verified: the terminal, simulated execution engine, persistent ledger, portfolio analytics, journal, wallet authentication, CMS and challenge catalog, CI and deployment blueprint. The round funds: payment integration, evaluation rule enforcement, funded accounts, payout processing, trial provisioning, KYC and payout rails — exactly the capabilities the product labels as not-yet-operational.

How are trader payouts controlled?

Payouts are modelled as a driver-based liability (funded pool × participation × average payment), never a fixed revenue percentage. Controls: the payout-to-revenue ratio is monitored in a 15–70% band (Base settles at 48%); a three-month trailing-average reserve is held before any expansion; the Instant product's buffer rules cap early exposure; and sensitivity testing shows positive five-year EBITDA across payout multipliers of 0.7×–1.3×.

What is the regulatory plan?

Pre-launch securities counsel on the Canadian classification of simulated evaluations plus contractual rewards; honest labelling everywhere (the MyForexFunds pattern is the anti-model); no US-facing marketing; stage-4 live capital gated on a legal opinion. No exemption is assumed.

Why Canada?

Fast, cheap federal incorporation ($200, one business day), a competitive small-business tax rate (~11.2% combined on the first $500K), a credible operating domicile for banking and payments, and an ecosystem of accelerators. The Start-up Visa is closed to new applications and is not part of the case; the announced successor pilot is monitored but not assumed.

What happens to the live-trading component if legal validation fails?

The model isolates stage 4 as a separate segment; the business case stands with it set to zero. The live-capital pool (10% of funds) would remain in reserve. The evaluation-plus-rewards model is the funded plan; live trading is an option, not the investment thesis.

How current are the competitor figures?

Pricing was verified 28 September 2026 by a third-party database and cross-checked against official pages where retrievable; the model documents each source with dates. FundingPips terms carry an explicit re-verification flag. Any pricing change by competitors feeds the model's benchmark sheet without touching the published catalog's single source of truth.

What would change the plan materially?

Regulatory reclassification in a target market, payment-processor rejection at high-risk MCC terms, or payout participation materially exceeding the industry observation. Each has a pre-committed mitigation in the risk register, and the model's scenario controls quantify the first and third directly.